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HEARD ON THE STREET

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Nvidia's Cloud Still Has a Big Silver Lining

Chipmaker was primed for a selloff, but long-term potential is strong

By Dan Gallagher

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A painful lesson for Nvidia NVDA -4.11% ▼ on the way to becoming a \$100 billion company: sometimes it's the little things that count.

Take, for instance, Nvidia's business selling chips for data centers. It is small, accounting for just 16% of the company's trailing 12-month revenue. It is also growing quickly, more than doubling on a year-over-year basis for the last five quarters. That success is central to the belief that Nvidia's chips will be the key components in artificial intelligence systems of the future. This thesis has taken the company's market value from \$32 billion a year ago to just above \$100 billion earlier this week.

The breathtaking rise has left some investors gasping, which explains why Nvidia's stock price slipped 7% Friday in the wake of quarterly results that were excellent by almost any measure. Overall revenue jumped 56% year-over-year to \$2.2 billion, driven by growth in all of the company's segments. Operating income more than doubled to \$688 million. The growth exceeded the company's already optimistic forecast, and the revenue outlook issued for the current quarter was also well above Wall Street's forecasts.

The rub was the company's data-center business, which sells the company's graphics chips to large cloud-service operators like Google and Amazon. Revenue here nearly tripled year over year to \$416 million—a notable accomplishment given that Nvidia's

new Volta chip still was coming into full production during the quarter. But some analysts were expecting more, noting that sequential growth in data centers was the lowest seen in two years.

There is a difference between taking a few chips off the table and cashing out of the game, though. Nvidia was fetching nearly 54 times forward earnings before the report, making it one of the most expensive chip stocks available. Some profit-taking could be expected, especially given the geopolitical instability roiling markets lately.

But Nvidia is also still in front of a big opportunity as artificial intelligence is in the early days of being implemented in data centers and automobiles. The company's larger videogaming business also is prospering, and it has enjoyed a recent bump in demand from those mining crypto-currencies.

Meanwhile, investors should expect the data-center business to be lumpy, given that capital spending patterns by large cloud players tend to fluctuate quarter by quarter. Over the longer term, though, the cloud still has a big silver lining for Nvidia.

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Dan Gallagher is a former columnist for The Wall Street Journal's Heard on the Street, where he covered the technology and media industries. His work for the Heard column spanned the businesses of artificial intelligence, semiconductors, internet, software, hardware, advertising, streaming TV and film. Dan also wrote WSJ's AI &...

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